

Before the
FEDERAL MARITIME COMMISSION

Washington, DC 20573

Docket No. 22-20

MSRF Inc. v. HMM Company Ltd.

PROPOSED FINDING OF FACTS

Complainant MSRF, Inc. (“MSRF”), pursuant to 46 C.F.R. § 502.70 and 46 C.F.R. § 502.214, and for its Proposed Findings of Fact in Support of its Motion for Summary Decision, states as follows:¹

1. MSRF and Respondent HMM Company Ltd. (“HMM”) entered into a service contract (SC US2124083) effective May 1, 2021. Declaration, ¶ 4; Deposition Transcript of Christopher McDonald, pg. 9:7-16 attached to the appendix as Exhibit 2 with certain exhibits to transcript attached.

2. HMM was MSRF’s shipper and carrier for freight. Deposition Transcript of Sophia Hopman, pg. 12:19-21 attached to the appendix as Exhibit 3.

3. When executed, the duration of the service contract was from May 1, 2021 through April 30, 2022. Declaration, ¶ 5.

4. The service contract was amended on fourteen occasions. Declaration, ¶ 7. Many of the amendments simply added different routes to the parties’ agreement. Group Ex. A to Declaration.

5. The service contract provided for a minimum quantity commitment of 25 forty equivalent units (“FEUs”) from Asia to the U.S. during the initial contract period of May 1, 2021,

¹ Certain documents were marked as confidential in this case. Any such documents referenced herein that were marked as confidential are being produced through a confidential and non-confidential version.

through April 30, 2022. Group Ex. A. The service contract also identified the prices to be charged for various routes, including the prices for the FEUs. Declaration, ¶ 8.

6. On June 2, 2021, Chris McDonald of HMM agreed that MSRF should be receiving one FEU per week based upon increased charges to be paid by MSRF. Ex. MC3 to Christopher McDonald Deposition Transcript, HMM0026379-81 and Transcript, pg. 19:16-22.

7. After the negotiation of the initial contract, in July 2021, MSRF and Respondent negotiated an amendment for a peak season surcharge on the pricing for shipments through the end of August. As part of these negotiations, Respondent required MSRF to provide a forecast of shipments through August 2021. The forecast was for 28 containers. Declaration, ¶ 9.

8. HMM agreed to provide 2 FEUs per week through the end of August 2021 at the set price of \$2,500.00. Declaration, ¶ 10. This was an increase from the initial contract because of a peak season surcharge. Declaration, ¶ 10.

9. The peak season surcharge based on these negotiations was adopted in amendment 7 to the service contract. Declaration, ¶ 11. The execution of this amendment was based upon MSRF's agreement to provide two FEUs per week until August 31, 2021. Declaration, ¶ 11.

10. MSRF would not have agreed to this surcharge if it was not going to receive two FEUs per week through August 31, 2021. Declaration, ¶ 12.

11. Respondent provided only 9 containers through August 31, 2021. Declaration, ¶ 14. This was reflected in amendment 12 to the service contract to show the units moved before the service contract expired. Deposition Transcript, pg. 14:6-17.

12. MSRF suffered further damages through HMM's refusal to provide space when requested by MSRF. For example, in email correspondence between MSRF and HMM requesting

bookings from Kolkata, India to Montreal Canada, HMM refused to provide space. Declaration, ¶ 15.

13. MSRF suffered damages in the total amount of \$228,171.52. Declaration, ¶ 22.

14. The damages worksheet lists each shipment of goods by MSRF on which it paid freight costs in excess of those agreed by HMM in the service contract. Declaration, ¶ 18.

15. The damages also include the costs related to shipments which were originally booked for movement from the port of lading to an inland destination in the United States, but the movement was terminated at the port of unloading because HMM was unable to provide rail movement to the original destination. These additional costs are for transloading and trucking charges which would not have been incurred if HMM had provided the necessary container space on its vessels as agreed to by HMM. Declaration, ¶ 19.

16. The total damages are \$1,768,328.68 on a total of 124 FEUs. This is an average of \$14,260.72 per FEU. Declaration, ¶ 20.

17. HMM provided MSRF with only 9 FEUs during the initial contract period. Declaration, ¶ 21. Deposition Transcript of Sophia Hopman, pg. 17:21-24; 18:1-12, Exhibit 3 to the Appendix.

18. As a result, MSRF's damages are calculated by taking \$14,260.72 (which is the average additional charges per FEU) and multiplying by 16 (which is the amount of FEUs HMM did not provide during the term). As a result, the damages sought by MSRF is \$228,171.52. Declaration, ¶ 22.

Respectfully submitted,

CLARK HILL PLC

/s/ R. Kevin Williams

R. Kevin Williams

312.985.5907

kwilliams@clarkhill.com

130 E. Randolph Street, Suite 3900

Chicago, IL 60601

Counsel for Complainant MSRF, Inc.

CERTIFICATE OF SERVICE

I certify that on April 21, 2023, a true and correct copy of the foregoing document was served by email on all counsel of record in accordance with 46 CFR Part 502 and the Commission's Initial Order of August 22, 2022.

Attorneys for Respondent HMM:

COZEN O'CONNOR
Joshua Stein
Jstein@cozen.com
Neil Quartaro
Nquartaro@cozen.com
1200 Nineteenth Street, NW
Suite 300
Washington, DC 20036
(202) 463-2534

/s/ R. Kevin Williams
R. Kevin Williams
kwilliams@clarkhill.com
312.985.5907
Clark Hill PLC
130 E Randolph Street
Suite 3900
Chicago, IL 60601